

Sri Lanka-China Financial Relationship

Sri Lanka, Indian Ocean

SIGNAL

The Dissanayake government's direct engagement with CHEC leadership and the unprecedented scale of the China-South Asia Expo delegation confirm that economic integration with China is deepening under the NPP administration despite post-crisis caution.

FRACTURE

China's \$7 billion in restructuring losses and the SINOPEC refinery's 30%-local-sale dispute reveal that Beijing is itself becoming a more guarded creditor, tempering the pace of new commitments even as bilateral engagement widens.

Sri Lanka will sign a new bilateral infrastructure financing agreement with China within the next 18 months.

70%

PROBABILITY

TARGET: NOVEMBER 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- President Dissanayake personally met CHEC Chairman Bai Yinzhan (June 13, 2026) at the Presidential Secretariat and explicitly reaffirmed Port City Colombo as a key government priority – the strongest political signal yet of NPP commitment to Chinese investment.
- The IMF staff visit (June 24-30, 2026) reported inflation spiking from 1.6% to 5.5% y/y due to Middle East war energy price increases; the CBSL imposed a 100-basis-point rate hike; the government deployed temporary fuel, electricity, and fertilizer subsidies plus cash transfers; the Seventh EFF Review is scheduled for fall 2026.
- Sri Lanka sent its largest-ever trade delegation (~100 exporters, 250+ business representatives) to the 10th China-South Asia Expo in Kunming (June 11-16, 2026), producing a B2B MoU and securing China's offer of free warehouse access at the Kunming Comprehensive Bonded Zone.
- The IDSA Issue Brief (June 2026) revealed that China suffered **\$7 billion in losses** from debt restructuring; China's share of Sri Lanka's external bilateral debt declined from 57% (2022) to 45.3% (2024-2025); accumulated Chinese FDI stands at \$15 billion over two decades.
- The SINOPEC Hambantota oil refinery (**\$3.7 billion**) faces delays as China demands permission to sell 30% of output locally versus the current 20% – the deal is not proceeding smoothly.

- Port City Colombo now hosts **150+ licensed companies** with \$1.3–1.4 billion invested; a Dragon Boat Festival and China-Sri Lanka Friendship Cup Regatta was held at Port City (June 14) with 1,000+ participants, reinforcing cultural diplomacy at the showcase site.
- Sri Lanka's Q1 2026 external debt settled at **\$37.47 billion** (down \$195 million from Q4 2025); non-Paris Club creditors – led by China – hold 59% of the bilateral debt segment.
- Probability unchanged at 70%: intensified political and commercial engagement is offset by mounting fiscal and structural constraints on both sides.

ANALYSIS

POLITICAL

The political landscape has undergone a significant signal-positive shift since the June 2026 report. President Dissanayake's June 13 meeting with CHEC Chairman Bai Yinzhan at the Presidential Secretariat is the most direct endorsement of Chinese investment by the NPP government to date. Dissanayake explicitly stated that transforming Port City Colombo into a modern economic zone remains a key government objective, linked this to FDI-driven growth, and pointed to IMF policy stability as an enabling factor. CHEC – the main Chinese developer of Colombo Port City – reciprocally expressed confidence in Sri Lanka's investment climate. This meeting significantly reduces the residual uncertainty about whether the NPP government would retreat from Chinese BRI projects; it has instead chosen to govern them through regulatory reform (revising the Colombo Port City Economic Commission Act to strengthen compliance and tax incentive monitoring).

On the diplomatic front, momentum is building toward the **70th anniversary of China-Sri Lanka diplomatic relations in 2027**, with both countries already planning joint commemorations. The June 2026 Dragon Boat Festival at Port City – co-hosted by the Chinese Embassy and Sri Lanka's Ministry of Youth Affairs and Sports, attended by Chinese Ambassador Qi Zhenhong and 1,000+ participants – signals deliberate cultivation of the bilateral relationship as a showcase partnership.

However, significant constraints persist. The IMF's June 2026 staff visit underscored continuing reform conditionality: authorities committed to a 2.3% of GDP primary balance target in 2027, and the Seventh EFF Review (fall 2026) will be the next major test. The temporary relief package (fuel, electricity, fertilizer subsidies, cash transfers) deployed in response to the Middle East war-driven inflation spike represents fiscal slippage that could complicate the IMF program trajectory. Additionally, India's systematic counter-moves – Mazagon Dock's Colombo Dockyard acquisition (April 2026), the UPI launch, bilateral trade surpassing \$5.5 billion, and the Mattala Airport EoI creating a direct flashpoint near Hambantota – continue to constrain China's freedom of action.

The overall political assessment is that the **Dissanayake government has clearly chosen engagement with Chinese investment over retreat**, but the space for new large-scale commitments is narrowed by IMF conditionality and India's counter-presence.

ECONOMIC

The economic picture is characterized by deepening engagement on one track and tightening constraints on another. The June 2026 China-South Asia Expo marked a historic high-water mark for trade engagement: Sri Lanka's delegation of ~100 exporters and 250+ representatives was the largest ever sent to a Chinese trade event. The 100-booth Sri Lanka Pavilion, the B2B MoU between Premium Beverages and a Chinese distributor, and China's grant of free warehouse access at the Kunming Comprehensive Bonded Zone all point to a deliberate strategy of economic diversification toward China beyond traditional debt-financed infrastructure.

Port City Colombo continues its transition from controversy to commercial reality: **150+ licensed companies**, approximately \$1.3-1.4 billion invested, South Asia's first downtown duty-free retail mall now operational, and the Bay One Residences tower under active construction. Independent projections of 80,000+ jobs, \$13-15 billion in GDP addition, and \$5 billion in annual fiscal revenue at completion reinforce the project's economic logic – and make it increasingly difficult for any Sri Lankan government to reverse course.

However, the IDSA Issue Brief introduced significant new countervailing data. **China suffered \$7 billion in losses** from Sri Lanka's debt restructuring, and China's share of Sri Lanka's external bilateral debt has declined from 57% (2022) to 45.3% (2024-2025). This financial hit is substantial enough to affect Beijing's risk appetite for new Sri Lankan exposure. The SINOPEC Hambantota refinery – the most significant new Chinese commercial commitment since the default – is **facing delays specifically over China's demand to sell 30% of output locally** (vs the current 20%), indicating that even major deals are encountering friction rather than proceeding smoothly.

The IMF dimension adds further constraint. The inflation spike to 5.5% (from 1.6% in February 2026) and the resulting 100-basis-point rate hike have tightened Sri Lanka's macroeconomic conditions. Q1 2026 external debt settled at \$37.47 billion – a modest decline but still elevated. The 2.3% GDP primary balance target for 2027 limits the fiscal space available for new debt-financed infrastructure. While the IMF's May 2026 disbursement (\$695 million, combined 5th/6th reviews) confirms Sri Lanka remains on track, the upcoming Seventh Review (fall 2026) could introduce new conditions that further constrain bilateral borrowing.

Net economic assessment: The commercial engagement is deepening and diversifying beyond traditional infrastructure loans (trade, tourism, Port City investment), but the fiscal and financial constraints on both sides (Sri Lanka's IMF program, China's restructuring losses) are becoming more binding. The probability remains at 70% because the direction of political and commercial alignment is clear, but the pace and scale of any new agreement will likely be more modest than pre-crisis deals.

MILITARY

The military-strategic dimension has seen no major new developments since the June 2026 report, but the existing trend lines continue to shape the contest. India's Mazagon Dock Shipbuilders' acquisition of a 51% controlling stake in Colombo Dockyard PLC (April 2026) established an Indian industrial-military foothold in the Port of Colombo directly adjacent to Chinese-controlled operations. The Trincomalee trilateral framework (India-Sri Lanka-UAE) continues to develop the eastern port as an energy hub. India-Sri Lanka defense cooperation was formalized in 2025 with the first bilateral security framework agreement – a direct response to Chinese military-relevant infrastructure in the Indian Ocean.

China's Hambantota position remains institutionally entrenched through the 99-year lease. The lease agreement's explicit prohibition on foreign military basing creates a formal constraint, but China's ability to leverage dual-use commercial infrastructure for strategic purposes remains a concern for India. The planned SINOPEC refinery – if and when it proceeds – would deepen China's commercial stake in the Hambantota ecosystem, making nearby Mattala Airport's potential Indian operator more strategically significant and more likely to trigger Chinese pushback.

A new strategic consideration emerges from the Q1 2026 debt data: the non-Paris Club segment (59% of bilateral debt, led by China) remains the dominant bilateral creditor bloc despite China's declining share. This sustained debt relationship creates structural leverage that persists even as the headline debt figures decline.

The net military assessment: Sri Lanka remains a contested space in which India is making incremental strategic gains, but China's institutional entrenchment at Hambantota and Port City gives it structural advantages that new Indian projects must work around. This competition is more likely to accelerate Chinese investment (as Beijing moves to consolidate) than to deter it, supporting the prediction – but it also risks a zero-sum dynamic that complicates Sri Lanka's balancing strategy.

TECHNOLOGICAL

The technological dimension has not produced major new developments since the June 2026 report, but two threads merit attention. First, Port City Colombo's projected digital and financial-services orientation (80,000+ jobs across finance, technology, and professional services) positions it as a vector for Chinese-linked digital infrastructure in Sri Lanka's economy – even if it is structured as an open investment zone rather than a Chinese technology enclave. The Dissanayake government's revision of the Port City Economic Commission Act to strengthen regulatory oversight may create friction with the speed of digital infrastructure deployment that Chinese firms typically prefer.

Second, the STAIR Journal's analysis of China's challenge to IMF governance architecture – including the voting share reform dispute (China 6.08% vs Japan 6.14% despite China's economy being 4x larger) – has implications that extend beyond the Sri Lanka case. If China succeeds in creating parallel financial institutions or payment architectures, this would reduce Sri Lanka's structural dependence on Western financial infrastructure and

make Chinese-linked financing models more attractive. However, no concrete steps toward such an alternative architecture have been taken since the June 2026 report.

The Xinhua report on the coral reef "biobank" flourishing within Hambantota Port's underwater infrastructure introduces an unexpected environmental dimension to the port's legacy – but this is primarily a public relations development rather than a factor affecting the prediction.

WATCH INDICATORS

- SINOPEC Hambantota refinery negotiations: resolution of the 30%-vs-20% local sale dispute
- Mattala Airport tender outcome and bidder identities (deadline June 9, 2026)
- IMF Seventh EFF Review outcome (fall 2026)
- Sri Lanka-China bilateral meetings in lead-up to the 2027 70th anniversary of diplomatic relations
- Hambantota Port throughput and commercial activity data
- Port City Colombo company licensing and construction milestones
- India-Sri Lanka bilateral infrastructure and defense announcements
- Chinese firms' expressions of interest in specific Sri Lankan infrastructure projects

PROBABILITY TRIGGERS

EVENT	DIRECTION
Sri Lanka and China sign a new infrastructure MoU	Up
IMF Seventh Review imposes tighter borrowing limits	Down
SINOPEC refinery deal is finalized and construction begins	Up
Mattala Airport tender awarded to an Indian or Western firm	Down
China announces concessional financing terms for a new project	Up
Inflation continues rising, forcing further CBSL rate hikes	Down
India announces a major new port or logistics investment	Down
Sri Lanka and China announce 2027 diplomatic anniversary infrastructure commitments	Up

KEY SOURCES

1. IMF Press Release No. 26/229 (June 30, 2026)
2. IDSA Issue Brief (June 2026)
3. President Dissanayake Instagram (June 13, 2026)
4. South Asia Monitor (April 2026)
5. China Focus (May 25, 2026)
6. South Asian Voices / Stimson Center (June 12, 2026)
7. Lowy Institute (May 14, 2026)
8. STAIR Journal, Oxford (May 2026)
9. The Diplomat (January 2025)

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